

BEFORE THE FEDERAL MARITIME COMMISSION

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

SM LINE CORPORATION,

Respondent.

Docket No. 23-01

**COMPLAINANT’S MOTION TO QUASH NOTICE OF DEPOSITION
OR, IN THE ALTERNATIVE, FOR A PROTECTIVE ORDER**

Complainant Samsung Electronics America, Inc. (“SEA” or “Complainant”) respectfully submits this Motion to Quash, or in the alternative for a Protective Order (“Motion”) in response to Respondent SM Line Corporation’s (“SM Line” or “Respondent”) untimely notice of deposition of a corporate designee dated January 10, 2024, listing 29 separate topics, and actually designating for Complainant who should be deposed on said topics on the date of January 17, 2024. SM Line has intentionally left SEA with an inadequate amount of time to investigate the proper deponents for corporate inquiries, review appropriate documents, prepare the deponent(s) adequately, and then for the deponent to actually provide testimony before the January 19 fact discovery cut-off.

The Parties chose to schedule the key witnesses for the final week of the deposition schedule. SEA’s deposition defense prep team for the three individual depositions scheduled by SM Line on January 17, 18, and 19, will be traveling this holiday weekend From New York City to SEA’s offices in Santa Ana, California, working through Martin Luther King Jr. Day with the witnesses, and all to prepare SEA witnesses to be able to address SM Line’s questions on the noticed dates. There is no excuse for SM Line waiting until January 10 to issue the corporate notice; it is pure gamesmanship. Just like SM Line’s bad faith raising issues as to a translator on

the afternoon of January 10 for a deposition starting the morning of January 11, there must be consequences for this scattershot practice of law. Here, SEA submits the appropriate consequence is quashing the corporate deposition notice without the ability to re-notice. SM Line will still be able to address these issues during the three individual depositions noticed.

In support of this Motion, SEA states the following:

BACKGROUND

On October 30, 2023, Judge Chintella issued an Order establishing a revised schedule for this proceeding. Order Granting Complainant's Consent Motion for Extension of Scheduling Order, Docket No. 23-01 (ALJ Oct. 30, 2023) ("Revised Scheduling Order"). The parties completed exchanging documents and deposed witnesses in late December and the first two weeks of January. In the midst of this flurry of discovery, on January 10, 2024, SM Line emailed "Respondent's Notice of Deposition of Corporate Designee of Complainant" ("Deposition Notice") to Complainant, dated January 10, 2024. *See* Exhibit A to the Declaration of Eric Yoon dated January 12, 2024 ("Yoon Decl."). The Deposition Notice was for a corporate designee deposition on 29 topics to be conducted on January 17, 2024 at 9 am – one week from the date Complainant received it. In contrast, Complainant provided Respondent more than a month's prior written notice for the deposition of Respondent's corporate designee. By way of explanation for the tardiness of the Notice, Respondent's counsel simply stated "**I really thought I had sent to you/your team earlier. My mistake.**" *See* Exhibit B to the Yoon Decl. (emphasis added).

Further, the Deposition Notice names Michael Rapske in the document title as the presumed "corporate designee" for Complainant, despite the fact that Mr. Rapske is already scheduled for an individual deposition on the exact same day. As depositions can be collectively conducted for up to seven hours, this would entail fourteen hours of sworn testimony in one day.

Meet and Confer: On the afternoon of January 10, 2024, the same day the Deposition Notice was received, the parties held a meet and confer. Complainant’s counsel stated its intent to file a motion to quash, or in the alternative a motion for a protective order, in response to the untimely received Deposition Notice. Respondent’s counsel stated its intent to oppose any such motion. Complainant certifies it has in good faith conferred with Respondent in an attempt to resolve this issue, but the parties were unable to reach an agreement.

STANDARD OF REVIEW

Federal Maritime Commission (“FMC”) Rule 132 provides, in pertinent part, that “the person to whom the subpoena is directed may, by motion with notice to the party requesting the subpoena, petition the presiding officer to quash or modify the subpoena.” 46 C.F.R. § 502.132(a). Further, a recent FMC order granting the FMC Bureau of Enforcement’s motion to quash a Hapag-Lloyd subpoena illuminated how the FMC will evaluate a motion to quash, considering factors such as the propriety, relevance, privilege, and undue burden caused by the subpoena. *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. § 41102(C)* (Docket No. 21-09), 2022 WL 458579 (F.M.C. Feb. 9, 2022).

The Commission’s rules also permit the presiding officer to issue a protective order when such order is necessary to “protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense.” 46 C.F.R. § 502.141(j).

ARGUMENT

A. Deposition Notice is Inappropriate, Untimely and Should Be Quashed.

The Revised Scheduling Order issued on October 30, 2023, stated that January 19, 2024 was the target to complete “fact discovery.” See Revised Scheduling Order. SM Line served the Deposition Notice on January 10, 2024, only four (4) business days before the deposition was to

take place and a mere six (6) business days before “fact discovery” is to be completed in this proceeding.

Section 502.143(b) of the FMC’s Rules requires that “[a] party who wants to depose a person by oral questions must give *reasonable* written notice to every other party.” (Emphasis added.) While § 502.143(b) does not specify the number of days required for written notice to be “reasonable”, the Initial Order for this proceeding specifically states “[c]ompliance with the date set for completion of discovery requires that the parties serve discovery requests sufficiently in advance of the discovery cutoff so that all responses and objections are due *on or before* that date.” Initial Order, Docket No. 23-01, ¶ 10 (ALJ Apr. 21, 2023) (emphasis added). FMC Rule 132 provides that “the party who has requested the subpoena shall arrange that it be served at least twenty (20) days prior to the date specified in the subpoena for compliance therewith ...” and then a party may move to quash it.

The inquiry to determine whether notice is reasonable is case-specific and fact-intensive. *See Peterson v. Union Pacific R. Co.*, 2007 WL 2701268, at *2 (C.D.Ill. August 23, 2007). A relevant consideration is the time between the notice and the deposition in comparison to the time required for preparation and travel. *Id.* A Rule 30(b)(6) witness often requires additional preparation because the witness is not testifying as to his personal knowledge, but is testifying on behalf of the corporation as to matters known or reasonably available to the corporation. *See Brazos River Authority v. GE Ionics, Inc.*, 469 F.3d 416, 432–33 (5th Cir. 2006); *see also PPM Finance, Inc. v. Norandal USA, Inc.*, 392 F.3d 889, 894–95 (7th Cir. 2004).

The facts show here that issuing a corporate deposition notice a mere four (4) business days (and 7 calendar days) before the date specified in the Deposition Notice is unreasonable. This is not enough time to designate, prepare outlines of potential relevant documents that may arise,

confirm corporate positions from relevant personnel within SEA, and then testify. It does not even allow an adequate timeframe for the response and objection process set forth in § 502.132(c) to be completed before the completion of “fact discovery” on January 19, 2024. SEA rushed to prepare this motion on January 11 and the morning of January 12 so that this issue could be submitted before the federal holiday on Monday after addressing SM Line’s procedurally improper emergency relief request by email as to the use of a translator.

Looking purely at the number of day notice provided, let alone the burden, shows the time to be unreasonable. Federal jurisprudence is unambiguous in that at least ten to fourteen days constitutes reasonable notice of a deposition. *See Holloway v. 3M Co.*, No. EDCV19-708-JAK (KKx), 2019 WL 7172600, at *24 (C.D. Cal. Oct. 31, 2019) (finding that “nine days” notice is not reasonable for a Rule 30(b)(6) deposition “where 30(b)(6) notice included 33 matters for examination and defendant had thousands of employees within the state”); *Gulf Prod. Co. v. Hoover Oilfield Supply, Inc.*, No. CIV.A. 08-5016, 2011 WL 1791286, at *2 (E.D. La. May 9, 2011)(quashing a party’s first deposition notice as untimely as such notice did not provide a reasonable time to comply); *In re Sulfuric Acid Antitrust Litigation*, 231 F.R.D. 320, 327 (N.D.Ill.2005) (“[T]en business days’ notice [of a deposition] would seem to be reasonable.”); *Paige v. Consumer Programs, Inc.*, 248 F.R.D. 272, 275 (C.D. Cal. 2008)(holding the same and concluding fourteen days constitutes reasonable notice).

Here, in stark contravention to FRCP 30(b)(1), the Deposition Notice was issued cavalierly, and provided Complainant with only four business days to respond. Such apathy for the federal rules is inappropriate and places an undue burden on SEA to rush the designation and preparation of corporate witnesses.

Accordingly, SM Line has not complied with the Revised Scheduling Order the procedural requirements of § 502.132(c), or the FRCP, and its deposition notice should be quashed.

B. A Protective Order Should be Issued For the Corporate Designated Notice Preventing It From Going Forward at a Later Date

For good cause, a Protective Order may be issued to protect a party “from annoyance, embarrassment, oppression, or undue burden or expense.” 46 CFR § 502.141(j). Good cause exists in this case to justify a Protective Order being granted to bar the rescheduling of the Notice of Deposition of a corporate witness for another date. Moving forward with the deposition, with the close of fact discovery upon the parties, would place an undue burden on Complainant as it would not have sufficient time to select and prepare corporate designee(s) to testify, particularly given the extensive breadth of the subjects covered by the deposition and the other work in the dispute to be completed.

The Deposition Notice presumes that Mr. Rapske will represent SEA as the “corporate designee,” however Complainant has never confirmed that Mr. Rapske had been selected as the appropriate witness. In a December 20, 2023 email exchange between Complainant’s counsel and Respondent’s counsel, Respondent’s counsel stated “We will provide the 143(b)(6) notice for Michael Rapske soon”, to which Complainant’s counsel replied “Feel free to send the 143(b)(6) notice. As noted below, we will review, consult with the client, and designate the appropriate witness(es) for the suggested topics.” See Exhibit B to the Yoon Decl. While Respondent’s counsel may have determined that Michael Rapske should be SEA’s corporate designee, Complainant’s counsel was clear this is a decision for SEA, not SM Line. This is hornbook understanding as to corporate designations; the responding party must assess the topics and then designate the person(s) appropriate to address and bind the corporation. See *McDaniel v. Loyola Univ. Med. Ctr.*, No. 13 CV 6500, 2016 WL 11734767, at *2 (N.D. Ill. Sept. 28, 2016)(concluding that a party

illustrates a “complete disregard” for scheduling when such party is aware of the close of discovery, yet issues notices belatedly and concluding nine complex topics may require multiple witnesses).

Up until January 10, 2024, Complainant had not received notice that Respondent intended to depose a corporate designee, and therefore the appropriate corporate designee was never assessed, let alone finalized. In the event Mr. Rapske was designated for some of the 29 topics proffered by SM Line, the additional preparation over a holiday weekend before his Wednesday January 17, 2024, deposition is unreasonable for the deponent. *See Nieman v. Grange Mut. Ins. Co.*, No. 11-CV-3404, 2012 WL 5471949, at *2 (C.D. Ill. Nov. 9, 2012) (“A Rule 30(b)(6) witness often requires additional preparation because the witness is not testifying as to his personal knowledge, but is testifying on behalf of the corporation as to matters known or reasonably available to the corporation[.]”); *Brazos River Authority*, *supra*, 469 F.3d at 432–33 (noting a 30(b)(6) designee must make additional preparations to testify); *see also PPM Finance, Inc.*, 392 F.3d at (supporting the same).

The Deposition Notice includes a schedule identifying subjects on which the witness should be prepared to testify – a schedule that includes no less than 29 topics ranging from SEA’s policies, procedures and decision making in connection operational issues to SEA’s commercial or operational agreements with manufacturers, customers, and third-party vendors to SEA’s detailed financial results. It is very presumptuous for SM Line to determine that Mr. Rapske could simply address every topic. SEA has employees throughout the United States with various obligations and responsibilities. SM Line acts as if it is simple to obtain the necessary information from employees, before a holiday weekend, understand the information and confirm corporate positions before testifying. Courts have prevented this previous type of deposition ambush,

cognizant that the extensive number of topics impacts the ability to properly prepare in a very short timeframe. *See Nieman*, 2012 WL 5471949, at *2 (finding seven business days to designate and prepare a Rule 30(b)(6) witness was not reasonable notice given such notice contained 27 topics therein, and finding that plaintiff had no reason to wait until the end of fact discovery to notice the deposition). Expecting Complainant to appoint one or more corporate designees and prepare the person(s) to provide meaningful testimony on the 29 different subjects covered in the Deposition Notice schedule with only four (4) days written notice is wrong. There is one week left before the close of fact discovery. SM Line is out of time. A Protective Order should be granted which prevents the corporate deposition from occurring this Wednesday, October 17, and prevents SM Line from re-noticing it for another date. It is necessary to protect Complainant from the undue burden created by the untimely and extensive Deposition Notice.

C. SM Line's Erratic Litigation Conduct Should be Carefully Scrutinized in the Context of This Application

SM Line served an overbroad corporate notice at the end of discovery. Counsel must have known there is no reasonable prospect of preparing a designee and having the deposition in light of the schedule that remains. Or at least it was made clear during the meet and confer and yet SM Line refused to withdraw the belated notice. The parties set out and negotiated offensive and defensive schedule until the close of discovery, culminating in this last week. SM Line intentionally sent this notice, in bad faith at the last minute, knowing that the proffered witness could not be prepared and that there was inadequate time. There is no excuse for sitting on its hands on this until the end of fact discovery.

This tactic is consistent with SM's efforts to stall things out, a concept that was center stage during the emergency hearing on January 11 over the use of a SM-sanctioned lead translator. SM Line no doubt expected SEA would be forced to seek an extension of time, just like it was forced

to do when SM Line belatedly produced its documents. SEA will not. As recently noted by FMC ALJ Erin Wirth, “[t]he parties are reminded that a “scheduling order ‘is not a frivolous piece of paper, idly entered, which can be cavalierly disregarded by counsel without peril.’” *Johnson v. Mammoth Recreations, Inc.*, 975 F.2d 604, 610 (9th Cir. 1992) (quoting *Gestetner Corp. v. Case Equipment Co.*, 108 F.R.D. 138, 141 (D. Me. 1985)).” See *Marine Transport Logistics, Inc. v. CMA CGM, S.A.*, Docket No. 22-23, at 5 (Order on Respondent’s Motion for Letter of Request and Extension of Time) (ALJ Mar. 28, 2023)). SM Line has treated the scheduling order cavalierly with this belated corporate notice. And instead of SEA seeking an extension of time to address the issues raised by SM Line’s conduct, it files this motion as soon as practicable to bring this issue to the attention to the ALJ before the designated corporate witness date of January 17, 2024.

CONCLUSION

Based on the foregoing reasons, SEA respectfully requests that its Motion to Quash be granted, or in the alternative that the Presiding Officer grant its Motion for a Protective Order. SEA provides notice it will use this motion as an example of the additional costs necessary to address SM Line’s litigation conduct when it seeks the recovery of its attorney fees at the end of the FMC proceeding.

Dated: January 12, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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